

Green Energy Corridors: Building India's Hydrogen and Renewable Power Hub



The Green Energy Corridor (GEC) is a massive national infrastructure project designed to facilitate the seamless transmission of renewable energy from high-potential zones to high-demand centres. Leveraging its 1053 km coastline, Andhra Pradesh is using this infrastructure to channel wind and solar power towards coastal industrial hubs. This synergy positions the state as a premier destination for green hydrogen, turning natural resources into sustainable economic growth. Andhra Pradesh is leading India's transition into a "Green Economy". As of late 2025, the state has moved from planning to massive execution, securing record-breaking investments and launching pioneering policies. The state formally launched AP Green Hydrogen Valley Declaration, setting a roadmap to produce 1.5 million metric tonnes of green hydrogen annually by 2029. AP's installed renewable capacity (excluding large hydro) crossed 10,309 MW on 30 November 2025. Including large hydro, the

total clean energy capacity is approximately 13,488 MW, making up nearly half of the state's total power mix. A 1680 MW Pumped Storage Hydro Power Project under the 4,760 MW Integrated Renewable Energy Storage Project, was commissioned recently in Nandyal District.

Enabling Policy Environment

This AP Integrated Clean Energy (ICE) Policy 2024 is an ambitious roadmap to attract ₹10 lakh crore in investment and create 7.5 lakh jobs. It aims to shift the state from basic power generation to a complete "Green Economy" value chain by generating 160 GW of total renewable energy capacity, 1.5 million metric tonnes of green hydrogen/ammonia per year, 22 GW of pumped storage power and 25 GWh of battery storage.

To this end, the state is offering attractive incentives to renewable energy projects in the form of capital subsidies, concessional land lease rates, and reimbursement of water, electricity and other duties.

The Sustainable Electric Mobility Policy (4.0) focuses on decarbonising transport and making AP a leader in EV manufacturing, with a goal of achieving 100% electrification of the state transport (APSRTC) fleet. On the demand side for consumers, it offers purchase incentives up to 10% of the ex-showroom price at the point of sale, a 100% exemption on road tax and registration fees for five years, and scrappage bonuses for trading in old petrol or diesel vehicles for EVs. For manufacturers, it provides MSME support through 35%–45% investment subsidies on capital costs and establishes a ₹250 crore R&D fund to foster innovation in battery technology and drivetrains. To bolster EV infrastructure, the policy aims for a charging station every 30 km along "Green Corridors" and mandates EV charging points in all new apartments and commercial buildings exceeding 5,000 sq. m.

Investment Opportunities

Andhra Pradesh has structured its policies